

Annexure to the Board's Report

ANNEXURE - VI

BUSINESS RESPONSIBILITY REPORT

[See Regulation 34(2)(f)]

SECTION A: GENERAL INFORMATION ABOUT THE COMPANY

1. Corporate Identity Number (CIN) of the Company: **L40101WB2002PLC095491**
2. Name of the Company: **Shyam Metalics and Energy Limited**
3. Registered address: **Trinity Tower, 7th Floor, 83 Topsia Road, Kolkata-700046**
4. Website: **www.shyammetalics.com**
5. E-mail id: **compliance@shyamgroup.com**
6. Financial Year reported: **2021-2022**
7. Sector(s) that the Company is engaged in (industrial activity code-wise):
 - i. **Ferro Alloys: 24104**
 - ii. **Sponge Iron: 24102**
 - iii. **TMT Bars: 24109**
 - iv. **Pellets: 24109**
 - v. **Billets: 24109**
8. List three key products/services that the Company manufactures/provides (as in balance sheet): **Sponge Iron, Pellets and Billets**
9. Total number of locations where business activity is undertaken by the Company
 - (a) Number of International Locations: **Nil**
 - (b) Number of National Locations: **1 (One) i.e. Sambalpur in Odisha**
10. Markets served by the Company: **India, United States, Italy, Dubai, Oman, South Korea, China, Taiwan, Vietnam, Bangladesh, Nepal, Myanmar, etc.**

SECTION B: FINANCIAL DETAILS OF THE COMPANY

1. Paid up Capital (INR): **255.08 Crores**
2. Total Turnover (INR): **4646.13 Crores**
3. Total profit after taxes (INR): **810.27 Crores**
4. Total Spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%): **2.22%**
5. List of activities in which expenditure in 4 above has been incurred:
 - a.) **Drinking Water in Village, Health Awareness Programs including Health Camps.**
 - b.) **Skill Development Centre including computer training, sewing & handicraft centres.**
 - c.) **Animal Welfare Projects including treatment at hospital & medicine cost.**
 - d.) **Supporting Sports of National Importance, Prativa Coaching Centre, Local clubs, etc.**
 - e.) **Projects for Supporting Local Tribal Cultures, Places of National Heritage, etc.**
 - f.) **Construction of Rural Roads, Levelling of Grounds, Cleaning and Area beautification.**

Annexure to the Board's Report

SECTION C: OTHER DETAILS

- Does the Company have any Subsidiary Company/ Companies? **Yes 1 (One) subsidiary, Shyam Sel and Power Limited.**
- Do the Subsidiary Company/Companies participate in the BR Initiatives of the parent company? If yes, then indicate the number of such subsidiary company(s)

Yes, Shyam Sel and Power Limited participate in the BR initiative of the Company.

- Do any other entity/entities (e.g. suppliers, distributors etc.) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30-60%, More than 60%]

No

SECTION D: BR INFORMATION

- Details of Director/Directors responsible for BR –
 - Details of the Director/Director responsible for implementation of the BR policy/policies
 - DIN Number: 01125056
 - Name: Mr. Brij Bhushan Agarwal
 - Designation: Vice Chairman and Managing Director
 - Details of the BR head

No.	Particulars	Details
1	DIN Number (if applicable)	01125056
2	Name	Mr. Brij Bhushan Agarwal
3	Designation	Vice Chairman and Managing Director
4	Telephone number	033-4016 4080
5	E-mail id	bbush@shyamgroup.com

- Principle-wise (as per NVGs) BR Policy/policies:

The National Voluntary Guidelines (NVG) on Social, Environmental and Economic Responsibilities of Business released by the Ministry of Corporate Affairs has adopted nine areas of Business Responsibility. These are as follows:

Principle 1	Ethics, Transparency & Accountability
Principle 2	Sustainability of products & services across life cycle
Principle 3	Employee's well being
Principle 4	Stake holder's engagement
Principle 5	Human Rights
Principle 6	Environment
Principle 7	Responsible Policy Advocacy
Principle 8	Inclusive Growth & Equitable Development
Principle 9	Customer value

- Details of compliance (Reply in Y/N)

No.	Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
1	Do you have a policy / policies	Y	Y	Y	Y	Y	Y	Y	Y	Y
2	Has the policy being formulated in Consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y

Annexure to the Board's Report

No.	Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
3	Does the policy conform to any National / international standards? If yes, specify? (50 words)	Y	Y	Y	Y	Y	Y	Y	Y	Y
4	Has the policy being approved by the Board? Is yes, has it been signed by MD/ owner/ CEO/ appropriate Board Director?	Y	Y	Y	Y	Y	Y	Y	Y	Y
5	Does the company have a specified committee of the Board/ Director/ Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	Y	Y	Y
6	Indicate the link for the policy to be Viewed online?	https://www.shyammetalics.com/wp-content/uploads/2022/07/Business-Responsibility-Policy.pdf								
7	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
8	Does the company have in-house structure to implement the policy/ policies.	Y	Y	Y	Y	Y	Y	Y	Y	Y
9	Does the Company have a grievance redressal mechanism related to the policy/ policies to address stakeholders' grievances related to the policy/ policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
10	Has the company carried out independent audit/ evaluation of the working of this policy by an internal or external agency?	Y	Y	Y	Y	Y	Y	Y	Y	Y

3. Governance related to BR

- a. Indicate the frequency with which the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company:

The overall BR performance of the Company is reviewed by the BR Head annually and varied aspects of BR performance of each department/unit are assessed by the respective department/unit heads.

- b. Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

BR report is forming a part of the Annual Report. It is published annually. The report is also available on the Company's website at: www.shyammetalics.com

SECTION E: PRINCIPLE-WISE PERFORMANCE

Principle 1 - ETHICS, TRANSPERANCY AND ACCOUNTABILITY

1. Does the policy relating to ethics, bribery and corruption cover only the company?

Yes. It is general policy of SMEL to conduct its business activities with the highest level of integrity and ethical standards and in accordance with all applicable laws. Whistle blower policy of the Company is in force to effectively address issues from any stakeholders.

Does it extend to the Group/Joint Ventures/ Suppliers/Contractors/NGOs /Others?

Yes, it covers all the stakeholders associated with the Company.

Annexure to the Board's Report

2. How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management? If so, provide details thereof,

No stakeholder complaint received in the past financial year.

Principle 2 - SUSTAINABILITY OF PRODUCTS & SERVICES ACROSS LIFE CYCLE

1. List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/or opportunities.

- (a) Pellet

DES (Dust expression system) like ESP (Electrostatic precipitator) and Bag filters are used for the control of the dust emissions via the process, DSS (Dust suppression systems) like sprinklers and dry fog system are used for the fugitive emissions and ISO 45001 is being implemented in the company for the safety and health issues.

- (b) Sponge iron

DES (Dust expression system) like ESP (Electrostatic precipitator) and Bag filters are used for the control of the dust emissions via the process, DSS (Dust suppression systems) like sprinklers and dry fog system are used for the fugitive emissions and ISO 45001 is being implemented in the company for the safety and health issues.

- (c) Billet

The slag produced during the billet formation process is sent to the MRP (Metal recovery plant) for metal recovery (i.e. 10-15%) and after that it is sent to landfill after testing the slag for suitable tests like Toxicity Characteristic Leaching Procedure (TCLP) testing. ISO 45001 is being implemented in the company for the safety and health issues.

2. For each such product, provide the following details in respect of resources used (energy, water, raw material etc.) per unit of product (optional):

- (a) Reduction during sourcing/production/ distribution achieved since the previous year throughout the value chain?
Not Applicable

- (b) Reduction during usage by consumers (energy, water) has been achieved since the previous year? Not Applicable

3. Does the company have procedures in place for sustainable sourcing (including transportation)?

The Company focus on long term strong relationship with its suppliers. Social, ethical and environmental factors are considered while selecting the suppliers. It focuses on integrating sustainability in the procurement process. Effective system has been embedded to purchase the raw materials and act according to production and sales forecasts to ensure optimum raw materials procurement. Higher capacity of containers are used for transportation to save fuel.

- (a) If yes, what percentage of your inputs was sourced sustainably? Also, provide details thereof: **It is difficult to determine the percentage, but the Company ensures maximum inputs are sourced sustainably.**

4. Has the company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work? **Yes.**

- (a) If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

To maintain sustainability in procurement process emphasises given to procure the materials from local areas surrounding the factory and preference given to local and MSME suppliers.

5. Does the company have a mechanism to recycle products and waste? **Yes.**

If yes what is the percentage of recycling of products and waste.

It is difficult to ascertain the exact percentage but the Company has started manufacturing of fly ash bricks which are manufactured from various industrial waste generated from thermal power plant such as fly ash, sand, stone, dust and cement. Company has comprehensive water conservation policy and have captive water reservoir in two plants of company.

Annexure to the Board's Report

Principle 3 - EMPLOYEES WELL-BEING

- Please indicate the Total number of employees: **3685 employees**
- Please indicate the Total number of employees hired on temporary/contractual/casual basis. **1753 supply labor**
- Please indicate the Number of permanent women employees: **38 employees**
- Please indicate the Number of permanent employees with disabilities: **3 employees**
- Do you have an employee association that is recognized by management: **No**
- What percentage of your permanent employees is members of this recognized employee association? **Not Applicable**
- Please indicate the Number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year.

No.	Category	No of complaints filed during the financial year	No of complaints pending as on end of the financial year
1	Child labour/forced labour/involuntary labour	Nil	Nil
2	Sexual harassment	Nil	Nil
3	Discriminatory employment	Nil	Nil

- What number of your under mentioned employees were given safety & skill up- gradation training in the last year?
 - Permanent Employees: **1432**
 - Permanent Women Employees: **22**
 - Casual/Temporary/Contractual Employees: **2559**
 - Employees with Disabilities: **NA**

Principle 4 - STAKEHOLDERS ENGAGEMENT

- Has the company mapped its internal and external stakeholders? **Yes**

The Company has mapped its internal and external stakeholders by way of following mechanisms:	
Investors and stakeholders	General Meetings, Annual Reports, Investor's meet, Communication with the shareholders
Local communities	Frequent visit and close interaction
Employees	Meetings, intranet, virtual meetings, training, survey
Customers	Customers meet, survey and various contests
Suppliers & dealers	Site visit, tour, meetings and feedback
Government & Regulatory Authorities	Industry bodies and forums
Media	Press release, interview and announcements

- Out of the above, has the company identified the disadvantaged, vulnerable & marginalized stakeholders:
The Company with its continuous efforts identifies vulnerable and marginalised communities around manufacturing unit and works towards their betterment by various initiatives. It also identifies disadvantaged, vulnerable and marginalised stakeholders and continuously works for their upliftment.
- Special initiatives taken by the Company to engage with disadvantaged, vulnerable and marginalised stakeholders.
The Company keeps efforts for the communities residing in proximity of manufacturing unit for improving their standard of living, education, sanitation, skill development through various initiatives as a part of corporate social responsibility (CSR). The Company's vocational training centre imparts various vocational training for economic upliftment of the local people making them self-dependent.

Annexure to the Board's Report

The Company does not encourage any kind of discrimination based on caste, religion, sex, social background etc.

Principle 5 - HUMAN RIGHTS

1. Does the policy of the company on human rights cover only the company or extend to the Group/Joint Ventures/Suppliers/Contractors/NGOs/Others?

The Company wherever possible, takes initiatives to promote awareness of human rights across value chain. The Company encourages all its partners to value human rights and always discourage any violation of human rights.

2. How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?

No complaint received in past financial year relating to human rights violation.

Principle 6 - ENVIRONMENT

1. Does the policy related to Principle 6 cover only the company or extends to the Group/Joint Ventures/Suppliers/Contractors/NGOs/others.

The policy is applicable to the Company. We aim to apply the principle across the value chain.

2. Does the company have strategies/ initiatives to address global environmental issues such as climate change, global warming, etc.? Y/N. If yes, please give hyperlink for webpage etc.

No

3. Does the company identify and assess potential environmental risks? Y/N

Yes, Identification and assessment of potential risk is a continuous process. Sound monitoring system is in place to identify any potential risks involved in the operations. Any potential risks are addressed at the initial stages. Continuous monitoring and inspection is done on regular basis and necessary corrective actions are taken to mitigate the same.

4. Does the company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if Yes, whether any environmental compliance report is filed?

Yes, Company already implemented Clean Development Mechanism, we already installed WHRB (Waste Heat Recovery Boiler) with each DRI unit for utilization of waste heat for power generation. The Company have submitted half yearly Compliance Report to MoEFCC with a copy to SPCB on periodic basis.

5. Has the company undertaken any other initiatives on – clean technology, energy efficiency, renewable energy, etc. Y/N. If yes, please give hyperlink for web page etc.

Yes, For Renewable energy, we already installed 1 MW Solar Power (Floating Type) and we are in process of installing 3 MW solar power (Roof top).

(<https://www.shyammetalics.com/sustainability/>)

6. Are the Emissions/Waste generated by the company within the permissible limits given by CPCB/SPCB for the financial year being reported?

Yes, the emissions/waste generated by the company for the financial year 2021-2022 was within the permissible limit given by CPCB /SPCB and has been reported to CPCB/SPCB.

7. Number of show cause/ legal notices received from CPCB/SPCB which are pending (i.e. not resolved to satisfaction) as on end of Financial Year.

None.

Principle 7 - RESPONSIBLE POLICY ADVOCACY

1. Is your company a member of any trade and chamber or association? If Yes, Name only those major ones that your business deals with:

- (a) **Bengal chamber of Commerce**
- (b) **Bharat Chamber of Commerce**

Annexure to the Board's Report

- Have you advocated/lobbied through above associations for the advancement or improvement of public good? Yes/No; if yes specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Food Security, Sustainable Business Principles, Others)

The Company actively participate in the aforesaid forums on the issues and matters related to the interest of the stakeholders and continue advocacy the matters for advancement of public good.

Principle 8 - INCLUSIVE GROWTH AND EQUITABLE DEVELOPMENT

- Does the company have specified programs/initiatives/projects in pursuit of the policy related to Principle 8? If yes details thereof.

The Company focusses on responsible business practices with community-centric interventions. The thrust areas for us are sustainable livelihood – especially skill development and employability training, education and health care, all of which constitute the Human Development Index – a quality of life indicator.

- Are the programs/projects undertaken through in-house team/own foundation/external NGO/government structures/ any other organization?

Programmes/projects are undertaken through own promoted Charitable Trust/NGO and local community.

- Have you done any impact assessment of your initiative?

Impact assessment is done internally to understand the effect of initiatives undertaken by the Company.

- What is your company's direct contribution to community development projects?

Company's contribution to community development projects carried under CSR initiatives details of which is provided in the Director's Report and its annexure.

- Have you taken steps to ensure that this community development initiative is successfully adopted by the community?

Yes, most of our programs are community related. We usually conduct monthly meetings in the locality or sometimes the frequency of meetings depends on project. In such meetings we listen to public reviews and their demands to identify the new projects for the community.

Principle 9 - CUSTOMER VALUE

- What percentage of customer complaints/consumer cases are pending as on the end of financial year.

None

- Does the company display product information on the product label, over and above what is mandated as per local laws?

The Company follows all legal requirements for product labelling and product information. The Company display product information on the product label.

- Is there any case filed by any stakeholder against the company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behavior during the last five years and pending as on end of financial year?

One case related to trademark is pending in Hon'ble Calcutta High Court and is likely to be resolved shortly.

- Did your company carry out any consumer survey/ consumer satisfaction trends?

Yes, the Company believes that consumer satisfaction is key to the success of business. Therefore, the Company connects with consumers through dealers' network to understand quality feedback and also through market inspection and survey by own employees.

For and on behalf of the Board of Directors

Sd/-

Mr. Brij Bhushan Agarwal

Vice Chairman and Managing Director
(DIN : 01125056)

Sd/-

Mr. Sanjay Kumar Agarwal

Joint Managing Director
(DIN : 00232938)

Place : Kolkata

Date : 18th May, 2022